

Photograph by **BANDEEP SINGH**

BYJU'S FINANCIALS (FY22)

REVENUES
₹5,298 cr.

LIABILITIES
(including borrowing)
₹17,678 cr.

LOSSES
₹8,370 cr.

Source: Company announcements

crash courses for entrance tests such as JEE, NEET, CAT, UPSC and others.

Along with the spiralling enrolments came a boom in funding for the firm. Riding a high, Raveendran embarked on a shopping spree to pick up edtech companies with the capital he raised. As a result, his business stretched from the online learning app to physical tuition centres. "One skill Byju has is that he is a great salesperson," says Amit Khanna, managing director of Phoenix Advisers, a transaction advisory firm. "He will say what is needed at the moment to get a deal going." Khanna believes Raveendran had two things going for him. "One, there was an increasingly immense appetite for foreign funds to come into India because China had shut down their edtech business," he says, referring to the stringent restrictions China had brought into the online edtech sector in 2021. "The other was this whole tailwind on edtech because of the Covid pandemic. The industry was exciting and the country became exciting."

But even as he sat across the table from T&L, Khanna, as transaction advisor for tutorial chain Aakash, noticed something odd. T&L did not have a Chief Financial Officer (CFO) during the entire time of negotiations between January and August 2021. In hindsight, most market-watchers reckon the problems at T&L had been long germinating, even when the firm's valuations were soaring and the lack of a CFO for prolonged periods would be among the many reasons for its undoing in 2023, the same time as the massive Paytm empire that Sharma built began crumbling.

PAYTM'S FOLLIES

Like most start-up entrepreneurs, Sharma focused on building the business first, and worrying about compliance later. That is perhaps why the issues kept piling up, says a former employee from Paytm's risk and compliance team. Among its several problems were the following.

- Paytm's attitude from the very beginning was that their job was to educate the regulators that since they are a new-age technology company, they did things differently, and there was nothing wrong with that, and the regulators needed to understand that.
- Another former staffer from the data analytics side recounted how the business correspondents and KYC (know your customer) agents of Paytm, who were given the mandate to help customers withdraw or deposit cash, would allegedly falsify such transactions to earn a commission. There were also cases of millions of "inactive" wallets, added on by such unscrupulous agents.
- From 2018 onwards, the Reserve Bank of India (RBI) began red-flagging issues where it found Paytm to be in violation of its licensing rules for payments banks. These included supervisory concerns on their wallet transactions and for submitting false information of transfer of funds from Paytm to banking partner PPB. The bank now houses all of the parent's 330 million wallet accounts. There have been at least four instances where the RBI has pulled up PPB on various charges of violations in licensing conditions, submission of false information and lapses in technology and cyber security. In October 2023, the RBI even imposed a penalty of Rs 5.39 crore on PPB for "continued non-compliance" with KYC norms. The central bank even had an external audit of PPB accounts, which revealed 'persistent non-compliances and continued material supervisory concerns in the bank, warranting further supervisory action'. The central bank, however, did not divulge the exact details.

Paytm did not respond to queries from INDIA TODAY on the matter. Experts say the RBI was concerned about the lax monitoring of payout transactions or risk